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Prepared for  
Yearn

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# Yearn Vaults v3.1.0

Smart Contract Security Assessment

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## 1 Review Summary

### 1.1 Protocol Overview

Yearn V3 Vaults is an ERC-4626 compliant vault system for accepting ERC-20 deposits, issuing yield-bearing shares, and allocating funds across external strategies. The vault acts as a flexible accounting and allocation layer, tracking strategy debt, reported gains and losses, profit unlocking, and user withdrawals.

### 1.2 Audit Scope

This audit covers the changes introduced by PR #235 across one day of review.

contracts/  
└─ VaultV3.vy

### 1.3 Risk Assessment Framework

#### 1.3.1 Severity Classification

| Severity             | Description                                                                                                                                                                                                                                                                                   | Potential Impact                                    |
|----------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------|
| <b>Critical</b>      | Immediate threat to user funds or protocol integrity                                                                                                                                                                                                                                          | Direct loss of funds, protocol compromise           |
| <b>High</b>          | Significant security risk requiring urgent attention                                                                                                                                                                                                                                          | Potential fund loss, major functionality disruption |
| <b>Medium</b>        | Important issue that should be addressed                                                                                                                                                                                                                                                      | Limited fund risk, functionality concerns           |
| <b>Low</b>           | Minor issue with minimal impact                                                                                                                                                                                                                                                               | Best practice violations, minor inefficiencies      |
| <b>Undetermined</b>  | Findings whose impact could not be fully assessed within the time constraints of the engagement. These issues may range from low to critical severity, and although their exact consequences remain uncertain, they present a sufficient potential risk to warrant attention and remediation. | Varies based on actual severity                     |
| <b>Gas</b>           | Findings that can improve the gas efficiency of the contracts.                                                                                                                                                                                                                                | Increased transaction costs                         |
| <b>Informational</b> | Code quality and best practice recommendations                                                                                                                                                                                                                                                | Reduced maintainability and readability             |

Table 1: severity classification

## 1.4 Key Findings

### Breakdown of Finding Impacts

| Impact Level                                      | Count |
|---------------------------------------------------|-------|
| <span style="color: red;">■</span> Critical       | 0     |
| <span style="color: orange;">■</span> High        | 0     |
| <span style="color: yellow;">■</span> Medium      | 0     |
| <span style="color: green;">■</span> Low          | 0     |
| <span style="color: gray;">■</span> Informational | 1     |

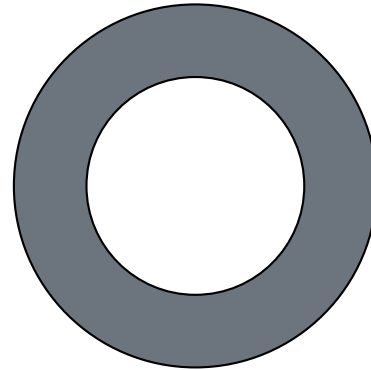


Figure 1: Distribution of security findings by impact level

## 1.5 Overall Assessment

Changes are minimal, the audit didn't identify any issues.

## 2 Audit Overview

### 2.1 Project Information

**Protocol Name:** Yearn

**Repository:** <https://github.com/yearn/yearn-vaults-v3>

**Commit Hash:** cc7d10d218e2dd3dea7df8ad604798cefbab6d2d

**Final Commit Hash:**

**Commit URL:** <https://github.com/yearn/yearn-vaults-v3/commit/cc7d10d218e2dd3dea7df8ad604798cefbab6d2d>

### 2.2 Audit Timeline

The audit was conducted from June 8 to 8, 2026.

### 2.3 Audit Resources

- Code repositories and documentation

### 2.4 Critical Findings

None.



## 2.5 High Findings

None.

## 2.6 Medium Findings

None.

## 2.7 Low Findings

None.

## 2.8 Gas Savings Findings

None.

## 2.9 Informational Findings

### 2.9.1 TECH\_SPEC incorrectly states withdrawals cannot be paused

TECH\_SPEC.md states that withdrawals cannot be paused, but the updated VaultV3.vy implementation blocks withdrawals and redemptions when `paused` is set.

#### Technical Details

The emergency operation section of TECH\_SPEC.md says `Withdrawals can't be paused under any circumstance`. The contract now exposes `setPaused()` and `isPaused()`, and the pause state affects both deposit and withdrawal flows. The specification therefore describes older behavior and no longer matches the contract.

#### Impact

Informational.

#### Recommendation

Update TECH\_SPEC.md to describe the new pause semantics.

#### Developer Response

Fixed.



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